AI-Augmented Sector Teardown: 20-Company Outlook

By Archit Chawla — October 19, 2026

Prices as of October 16, 2026 close · Models as of October 19, 2026 · US 10Y at 5.1%

Executive summary

I ran the same teardown framework over 20 companies in 5 sectors — a 5-year DCF with bull and bear cases, sector comps, and a BUY/HOLD/PASS call on each — so the ranking below is apples to apples. The result is unambiguous:

- **1 BUY, 2 HOLDs, 17 PASSes.** This is not a cheap market. At a 5.1% risk-free rate, the math says most of what I cover is priced for perfection.
- **Charles Schwab (SCHW) is the single BUY** (+75.2% base-case upside): a 0.78 beta against demonstrated 48% through-cycle pretax margins. The market is pricing the rate-cut risk; my framework says the compensation is more than adequate.
- **JPMorgan (−7.7%) and Salesforce (−7.1%) are HOLDs** — fairly priced inside my bands, with identifiable drags (net interest normalization for JPM, a $33.4B net-debt load for CRM).
- **Ranked by median base-case upside, Diversified Financials screens best (−18.1%), then Fintech (−32.9%), Enterprise SaaS (−41.7%), Consumer Tech (−54.5%), and AI Infra & Semis last (−66.2%).** The ranking is relative — every sector median is negative. Read it as "least overvalued," not "cheap."

The through-line: elevated rates punish long-duration growth cash flows mechanically. AI hardware and hyperscalers carry the highest betas and the heaviest capex, so they screen worst under this framework. That is a statement about price versus cash math, not about the quality of the businesses — several of these are superb companies I would happily own 30–40% lower.

Methodology

One framework, twenty companies. Each name gets: 5-year explicit DCF (FY2026–2030, 3-year granular detail), bull and bear cases, and a comps cross-check against its three sector peers. WACC via CAPM on identical constants: 5.1% US 10-year risk-free (October 19, 2026), 4.5% equity risk premium, per-company beta cross-checked across multiple sources, 21% tax. Terminal growth 3.0% base (3.5% bull, 2.0% bear); bull/bear discount rates shift ∓100 bps. Every computed cell in every workbook is a live Excel formula; every judgment input is tagged with its rationale.

The one sanctioned adaptation: banks. You cannot run an enterprise DCF on a bank. For JPM, GS, MS I discount distributable cash flow (dividends + buybacks) at the cost of equity — the standard approach. SOFI and SCHW use an operating-proxy DCF (pretax income + D&A, with only the equity slice of balance-sheet reinvestment treated as a shareholder cash cost), since loan-book flows distort their cash-flow statements. Both adaptations are documented per company; the comparison across the two is directionally consistent but not identical, and I say so plainly.

AI-augmented workflow. I use LLM tooling to accelerate data extraction and drafting, then verify every figure against primary sources myself. Each memo's Methodology & Verification Notes logs what I caught: stale share counts (HOOD, COIN, META, GOOGL), blank history columns in data pulls, distorted tax provisions normalized to statutory, fiscal-year mappings (NVDA, CRM, SNOW report on January fiscal years). Nothing is invented; where data was missing it is marked N/A with the workaround stated.

Recommendation bands: BUY needs 20%+ base-case upside with a margin of safety; HOLD is −10% to +20%; PASS is anything worse. The bands are applied mechanically — the calls below follow the math even where they disagree with consensus.

Sector leaderboard

Ranked by median base-case implied upside (DCF base vs. October 16 close):

Rank	Sector	Median upside	Companies (upside / call)
1	Diversified Financials	−18.1%	JPM −7.7% HOLD · GS −12.0% PASS · MS −24.2% PASS · BLK −49.3% PASS
2	Fintech	−32.9%	SCHW +75.2% BUY · SOFI −20.1% PASS · COIN −45.7% PASS · HOOD −70.5% PASS
3	Enterprise SaaS	−41.7%	CRM −7.1% HOLD · NOW −28.2% PASS · SNOW −55.2% PASS · PLTR −82.9% PASS
4	Consumer Tech	−54.5%	META −42.2% PASS · GOOGL −51.6% PASS · AAPL −57.3% PASS · AMZN −68.1% PASS
5	AI Infra & Semis	−66.2%	AVGO −39.6% PASS · NVDA −51.7% PASS · AMD −80.8% PASS · ALAB −87.7% PASS

Sector notes

1. Diversified Financials (−18.1% median). The best of a fully-priced market. Low betas (0.78–1.2 range) mean the 5.1% rate regime hurts these names least in discount-rate terms, and distributions are tangible cash, not promises. JPM is fairly priced; the risk is net interest income normalizing as the Fed eventually eases — my bear cases size that. BLK screens worst in the sector (−49.3%): a superb franchise at a multiple that assumes perpetual double-digit AUM compounding. The sector's edge is arithmetic, not optimism.

2. Fintech (−32.9% median). A barbell. SCHW is the project's lone BUY — the market sees rate-cut risk to net interest income (49% of revenue) and I agree it's the key risk, but a 7.8% WACC against 48% through-cycle pretax margins leaves enormous room; my call sits above street consensus and the memo owns that gap explicitly. At the other end, HOOD (−70.5%) is priced as if elevated rates last forever: the quote implies ~40% five-year revenue CAGR or a ~10% WACC. COIN (−45.7%) and SOFI (−20.1%) sit between — real businesses, wrong prices.

3. Enterprise SaaS (−41.7% median). CRM (−7.1%, HOLD) is the closest call in the project: the $33.4B net-debt load from 2026 levering is the main drag on an otherwise clean franchise. NOW, SNOW, PLTR are all PASS by wide margins — the market is capitalizing AI-workflow narratives at multiples the cash math can't support. SNOW deserves a methodology footnote: never GAAP-profitable, so it runs on an explicit revenue→FCF-margin ramp (16.1% → 37.9%), stated as judgment. PLTR (−82.9%) is the most extreme quote-versus-cash disconnect in the entire universe.

4. Consumer Tech (−54.5% median). All four PASS. My reverse-DCF arithmetic says these quotes imply 6.4–8.8% *perpetual* FCF growth — that is the definition of priced for perfection. The honest tension: peer forward P/E multiples are kinder than my DCFs (META's comps-implied value even clears the quote), but multiples borrow the market's own optimism while the DCF counts cash. Capex is the swing factor — META at 30% and GOOGL at 20% of revenue against nine-figure 2026 guides is what breaks the models. If AI capex converts to revenue faster than I assume, these calls are wrong; the memos say so.

5. AI Infra & Semis (−66.2% median). Screens worst, and the bear cases here are real down-cycle years (−10% to −20% revenue), not just slower growth — semis are cyclical and the framework respects that. Even my bull cases (29–56% five-year revenue CAGRs at expanding margins) cannot clear these quotes under 11.5–21.75% WACCs. AVGO's bull case is the only one in the sector at the quote. ALAB (−87.7%) carries an additional flag: IPO'd March 2024, so the history is two annuals plus S-1-derived figures — the framework is identical but the confidence interval is widest here.

Full scorecard

Ticker	Company	Sector	Price	DCF base	DCF bull	DCF bear	Upside	Call
SCHW	Charles Schwab	Fintech	$91.96	$161.09	$269.82	$77.41	+75.2%	BUY
JPM	JPMorgan Chase	Div. Financials	$339.72	$313.42	$500.78	$156.06	−7.7%	HOLD
CRM	Salesforce	Ent. SaaS	$240.70	$223.72	$338.58	$129.66	−7.1%	HOLD
GS	Goldman Sachs	Div. Financials	$881.26	$775.17	$1,196.80	$280.37	−12.0%	PASS

Ticker	Company	Sector	Price	DCF base	DCF bull	DCF bear	Upside	Call
SOFI	SoFi Technologies	Fintech	$14.55	$11.62	$17.34	$5.06	−20.1%	PASS
MS	Morgan Stanley	Div. Financials	$180.57	$136.93	$204.19	$58.21	−24.2%	PASS
NOW	ServiceNow	Ent. SaaS	$141.97	$101.98	$172.70	$52.54	−28.2%	PASS
AVGO	Broadcom	AI Infra & Semis	$328.75	$198.72	$334.49	$83.29	−39.6%	PASS
META	Meta Platforms	Consumer Tech	$709.33	$409.83	$652.74	$181.59	−42.2%	PASS
COIN	Coinbase	Fintech	$173.16	$93.99	$156.53	$41.44	−45.7%	PASS
BLK	BlackRock	Div. Financials	$1,134.38	$575.01	$896.74	$337.01	−49.3%	PASS
GOOGL	Alphabet	Consumer Tech	$340.59	$164.95	$243.51	$87.64	−51.6%	PASS
NVDA	Nvidia	AI Infra & Semis	$214.13	$103.36	$157.35	$47.48	−51.7%	PASS
SNOW	Snowflake	Ent. SaaS	$306.84	$137.47	$226.06	$62.85	−55.2%	PASS
AAPL	Apple	Consumer Tech	$343.46	$146.75	$217.80	$81.97	−57.3%	PASS
AMZN	Amazon	Consumer Tech	$250.00	$79.68	$128.28	$19.05	−68.1%	PASS
HOOD	Robinhood	Fintech	$98.87	$29.15	$50.38	$9.70	−70.5%	PASS
AMD	Adv. Micro Devices	AI Infra & Semis	$528.75	$101.50	$163.81	$32.25	−80.8%	PASS
PLTR	Palantir	Ent. SaaS	$186.03	$31.79	$50.69	$14.98	−82.9%	PASS
ALAB	Astera Labs	AI Infra & Semis	$285.82	$35.27	$57.96	$9.32	−87.7%	PASS

Forward outlook — what would change the calls

I hold these views conditionally; here is what flips them:

- **Rate normalization is the master variable.** If the 10Y moves from 5.1% toward 4%, every WACC in this project falls ~100–150 bps and DCF values rise mechanically — most PASSes narrow sharply and several flip to HOLD. Conversely, a move toward 6% makes even the HOLDs indefensible. Watch the Fed, not the tickers.
- **Hyperscaler capex conversion.** The consumer-tech PASSes rest heavily on elevated capex (META 30%, GOOGL 20% of revenue). If AI infrastructure spend converts to revenue faster than my ramps assume, AMZN/META/GOOGL rerate upward on cash flow, not narrative.
- **The semi cycle.** My bear cases assume a real down-cycle year for NVDA/AVGO/AMD/ALAB. If the AI hardware cycle extends without a digestion year, the bear cases are too punitive — but the base cases still don't clear the quotes.
- **SCHW is the idiosyncratic long.** The BUY does not need rates to fall; it needs Schwab's through-cycle margins to persist. The risk is a faster-than-expected NII compression — sized in the $77.41 bear case.

Limitations

- One framework cannot be perfectly neutral: high-beta growth will always screen worse than low-beta compounders at high rates. That is a feature of valuation, but it means this report is structurally skeptical of exactly the stocks the market loves most right now.
- Two different bank adaptations (distribution DCF vs. operating-proxy DCF) are both defensible and both disclosed, but SOFI/SCHW are not perfectly comparable to JPM/GS/MS.
- ALAB's two-year history and SNOW's never-profitable P&L widen their confidence intervals beyond what the point estimates suggest.
- Comps are sector-relative (the other three names in each sector), not broad-market — deliberately, so the peer lens shares the framework's assumptions.

Independent project for skill demonstration; not investment advice. All models, memos, raw data, and rerun scripts are published alongside this report.